

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester III Examination, 2023-24

Paper No. BCF-212: Corporate Financial Management

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. “The goal of profit maximization does not provide an operationally useful criterion for measuring the success of business operations.” Explain the statement. [14]

OR

“Financial management, as an integral part of the overall management, is not a totally independent area.” Justify. [14]

Question 2. Discuss the factors that influence the requirements of fixed capital of a company. [14]

OR

Explain the characteristics of a sound financial plan. Also describe the types of financial plans. [14]

Question 3. Critically examine the advantages and disadvantages of raising funds by issuing shares of different types. [14]

OR

Examine the utility of public deposits as a source of corporate finance in India. [14]

Question 4. What do you mean by over-capitalisation? Discuss the causes and remedies of over-capitalisation. [14]

OR

Distinguish between capitalization and capital structure. [14]

Question 5. Explain the ‘Net Operating Income’ approach of Capital Structure. [14]

OR

Discuss briefly the factors governing the design of capital structure. [14]

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